



House of Representatives

General Assembly

File No. 198

February Session, 2026

Substitute House Bill No. 5364

House of Representatives, March 26, 2026

The Committee on Housing reported through REP. FELIPE of the 130th Dist., Chairperson of the Committee on the part of the House, that the substitute bill ought to pass.

AN ACT CONCERNING TIERED DEED RESTRICTIONS.

Be it enacted by the Senate and House of Representatives in General Assembly convened:

1 Section 1. Subsection (a) of section 8-30g of the 2026 supplement to
2 the general statutes is repealed and the following is substituted in lieu
3 thereof (*Effective October 1, 2026*):

4 (a) As used in this section:

5 (1) "Affordable housing development" means a proposed housing
6 development which is (A) assisted housing, or (B) a set-aside
7 development;

8 (2) "Affordable housing application" means any application made to
9 a commission in connection with an affordable housing development by
10 a person who proposes to develop such affordable housing;

11 (3) "Assisted housing" means housing which is receiving, or will
12 receive, financial assistance under any governmental program for the
13 construction or substantial rehabilitation of low and moderate income

14 housing, and any housing occupied by persons receiving rental
15 assistance under chapter 319uu or Section 1437f of Title 42 of the United
16 States Code;

17 (4) "Commission" means a zoning commission, planning
18 commission, planning and zoning commission, zoning board of appeals
19 or municipal agency exercising zoning or planning authority;

20 (5) "Municipality" means any town, city or borough, whether
21 consolidated or unconsolidated;

22 (6) (A) "Set-aside development" means a development in which not
23 less than thirty per cent of the dwelling units will be conveyed by deeds
24 containing covenants or restrictions which [shall] require, [that,] for [at
25 least forty years] a fixed period of time after the initial occupation of the
26 proposed development, such dwelling units [shall] to be sold or rented
27 at, or below, prices which will preserve the units as housing for which
28 persons and families pay thirty per cent or less of their annual income,
29 where such income is less than or equal to eighty per cent of the median
30 income. In a set-aside development, of the dwelling units conveyed by
31 deeds containing covenants or restrictions, a number of dwelling units
32 equal to not less than fifteen per cent of all dwelling units in the
33 development shall be sold or rented to persons and families whose
34 income is less than or equal to sixty per cent of the median income and
35 the remainder of the dwelling units conveyed by deeds containing
36 covenants or restrictions shall be sold or rented to persons and families
37 whose income is less than or equal to eighty per cent of the median
38 income;

39 (B) "Forty-year set-aside development" means a set-aside
40 development for which the covenant or deed restriction lasts at least
41 forty years;

42 (C) "Thirty-year set-aside development" means a set-aside
43 development for which the covenant or deed restriction lasts at least
44 thirty and not more than thirty-nine years; and

45 (D) "Twenty-year set-aside development" means a set-aside
46 development for which the deed restriction lasts at least twenty and not
47 more than twenty-nine years;

48 (7) "Median income" means, after adjustments for family size, the
49 lesser of the state median income or the area median income for the area
50 in which the municipality containing the affordable housing
51 development is located, as determined by the United States Department
52 of Housing and Urban Development; and

53 (8) "Commissioner" means the Commissioner of Housing.

54 Sec. 2. Subsection (l) of section 8-30g of the 2026 supplement to the
55 general statutes is repealed and the following is substituted in lieu
56 thereof (*Effective October 1, 2026*):

57 (l) (1) Except as provided in subdivision (2) of this subsection, the
58 affordable housing appeals procedure established under this section
59 shall not be applicable to an affordable housing application filed with a
60 commission during a moratorium, which shall commence after (A) a
61 certification of affordable housing project completion issued by the
62 commissioner is published in the Connecticut Law Journal, or (B) notice
63 of a provisional approval is published pursuant to subdivision (4) of this
64 subsection. Any such moratorium shall be for a period of four years,
65 except that for any municipality that has (i) twenty thousand or more
66 dwelling units, as reported in the most recent United States decennial
67 census, and (ii) previously qualified for a moratorium in accordance
68 with this section, any subsequent moratorium shall be for a period of
69 five years. Any moratorium that is in effect on October 1, 2002, is
70 extended by one year.

71 (2) Such moratorium shall not apply to (A) affordable housing
72 applications for assisted housing in which ninety-five per cent of the
73 dwelling units are restricted to persons and families whose income is
74 less than or equal to sixty per cent of the median income, (B) other
75 affordable housing applications for assisted housing containing forty or
76 fewer dwelling units, or (C) affordable housing applications which were

77 filed with a commission pursuant to this section prior to the date upon
78 which the moratorium takes effect.

79 (3) Eligible units completed before a moratorium has begun, but that
80 were not counted toward establishing eligibility for such moratorium,
81 may be counted toward establishing eligibility for a subsequent
82 moratorium. Eligible units completed after a moratorium has begun
83 may be counted toward establishing eligibility for a subsequent
84 moratorium.

85 (4) (A) Except as provided in subparagraph (B) of this subdivision,
86 the commissioner shall issue a certificate of affordable housing project
87 completion for the purposes of this subsection upon finding that there
88 has been completed within the municipality one or more affordable
89 housing developments which create housing unit-equivalent points
90 equal to (i) the greater of two per cent of all dwelling units in the
91 municipality, as reported in the most recent United States decennial
92 census, or seventy-five housing unit-equivalent points, or (ii) for any
93 municipality that has (I) adopted a municipal housing growth plan or
94 has elected to comply with a regional housing growth plan in
95 accordance with the provisions of section 8-13cc, (II) twenty thousand
96 or more dwelling units, as reported in the most recent United States
97 decennial census, and (III) previously qualified for a moratorium in
98 accordance with this section, one and one-half per cent of all dwelling
99 units in the municipality, as reported in the most recent United States
100 decennial census.

101 (B) If a municipality has received a final letter of eligibility from the
102 commissioner pursuant to section 8-13gg, the commissioner shall issue
103 a certificate of affordable housing completion to such municipality at
104 such time as, upon application, the commissioner determines, in the
105 commissioner's discretion, that the municipality is in compliance with
106 the following conditions: The municipality remains in compliance with
107 all requirements for a final letter of eligibility, and there has been
108 completed within the municipality one or more affordable housing
109 developments that create housing unit-equivalent points equal to (i) the

110 greater of one and three-quarter per cent of all dwelling units in the
111 municipality, as reported in the most recent United States decennial
112 census, or sixty-five housing unit-equivalent points, or (ii) for any
113 municipality that (I) has adopted a municipal housing growth plan or
114 has elected to comply with a regional housing growth plan in
115 accordance with the provisions of section 8-13bb, (II) has twenty
116 thousand or more dwelling units, as reported in the most recent United
117 States decennial census, and (III) previously qualified for a moratorium
118 in accordance with this section, one and one-half per cent of all dwelling
119 units in the municipality, as reported in the most recent United States
120 decennial census.

121 (C) A municipality may apply for a certificate of affordable housing
122 project completion pursuant to this subsection by applying in writing to
123 the commissioner, and including documentation showing that the
124 municipality has accumulated the required number of points within the
125 applicable time period. Such documentation shall include the location
126 of each dwelling unit being counted, the number of points each dwelling
127 unit has been assigned, and the reason, pursuant to this subsection, for
128 assigning such points to such dwelling unit. Upon receipt of such
129 application, the commissioner shall promptly cause a notice of the filing
130 of the application to be published in the Connecticut Law Journal,
131 stating that public comment on such application shall be accepted by the
132 commissioner for a period of thirty days after the publication of such
133 notice. Not later than ninety days after the receipt of such application,
134 the commissioner shall either approve or reject such application. Such
135 approval or rejection shall be accompanied by a written statement of the
136 reasons for approval or rejection, pursuant to the provisions of this
137 subsection. If the application is approved, the commissioner shall
138 promptly cause a certificate of affordable housing project completion to
139 be published in the Connecticut Law Journal. If the commissioner fails
140 to either approve or reject the application within such ninety-day
141 period, such application shall be deemed provisionally approved, and
142 the municipality may cause notice of such provisional approval to be
143 published in a conspicuous manner in a daily newspaper having general
144 circulation in the municipality, in which case, such moratorium shall

145 take effect upon such publication. The municipality shall send a copy of
146 such notice to the commissioner. Such provisional approval shall
147 remain in effect unless the commissioner subsequently acts upon and
148 rejects the application, in which case the moratorium shall terminate
149 upon notice to the municipality by the commissioner.

150 (5) For the purposes of this subsection, "elderly units" are dwelling
151 units whose occupancy is restricted by age, "family units" are dwelling
152 units whose occupancy is not restricted by age, and "resident-owned
153 mobile manufactured home park" has the same meaning as provided in
154 subsection (k) of this section.

155 (6) For the purposes of this subsection, housing unit-equivalent
156 points shall be determined by the commissioner as follows: (A) No
157 points shall be awarded for a unit unless its occupancy is restricted to
158 persons and families whose income is equal to or less than eighty per
159 cent of the median income, except that (i) unrestricted units in a set-
160 aside development shall be awarded one-quarter point each, and (ii)
161 dwelling units in transit community middle housing developments
162 developed pursuant to subdivision (2) of subsection (a) of section 8-2s
163 shall be awarded one-quarter point each; (B) family units in forty-year
164 set-aside developments (i) restricted to persons and families whose
165 income is equal to or less than eighty per cent of the median income shall
166 be awarded one point if an ownership unit and one and one-half points
167 if a rental unit; [(C) family units] (ii) restricted to persons and families
168 whose income is equal to or less than sixty per cent of the median
169 income shall be awarded one and one-half points if an ownership unit
170 and two points if a rental unit; [(D) family units] and (iii) restricted to
171 persons and families whose income is equal to or less than forty per cent
172 of the median income shall be awarded two points if an ownership unit
173 and two and one-half points if a rental unit; (C) family units in thirty-
174 year set-aside developments shall receive seventy per cent of the points
175 that would be received by an equivalent family unit in a forty-year set-
176 aside development under the provisions of subparagraph (B) of this
177 subdivision; (D) family units in twenty-year set-aside developments
178 shall receive forty per cent of the points that would be received by an

179 equivalent family unit in a forty-year set-aside development under the
180 provisions of subparagraph (B) of this subdivision; (E) elderly units
181 restricted to persons and families whose income is equal to or less than
182 eighty per cent of the median income shall be awarded one-half point;
183 (F) a set-aside development containing family units which are rental
184 units shall be awarded additional points equal to twenty-two per cent
185 of the total points awarded to such development, provided the
186 application for such development was filed with the commission prior
187 to July 6, 1995; (G) a mobile manufactured home in a resident-owned
188 mobile manufactured home park shall be awarded points as follows: (i)
189 One and one-half points when occupied by persons and families with
190 an income equal to or less than eighty per cent of the median income,
191 (ii) two points when occupied by persons and families with an income
192 equal to or less than sixty per cent of the median income, and (iii) one-
193 fourth point for the remaining units; and (H) any unit described in
194 subparagraphs (A) to (G), inclusive, of this subdivision shall be awarded
195 an additional one-quarter point, provided such unit was constructed by
196 or in conjunction with a housing authority, as defined in section 8-40, of
197 a neighboring municipality.

198 (7) Points shall be awarded only for dwelling units which (A) were
199 newly-constructed units in an affordable housing development, as that
200 term was defined at the time of the affordable housing application, for
201 which a certificate of occupancy was issued after July 1, 1990, (B) were
202 newly subjected after July 1, 1990, to deeds containing covenants or
203 restrictions which require that, for at least the duration required by
204 subsection (a) of this section for set-aside developments on the date
205 when such covenants or restrictions took effect, such dwelling units
206 shall be sold or rented at, or below, prices which will preserve the units
207 as affordable housing for persons or families whose income does not
208 exceed eighty per cent of the median income, or (C) are located in a
209 resident-owned mobile manufactured home park.

210 (8) Points shall be subtracted, applying the formula in subdivision (6)
211 of this subsection, for any affordable dwelling unit which, on or after
212 July 1, 1990, was affected by any action taken by a municipality which

213 caused such dwelling unit to cease being counted as an affordable
214 dwelling unit.

215 (9) A newly-constructed unit shall be counted toward a moratorium
216 when it receives a certificate of occupancy. A newly-restricted unit shall
217 be counted toward a moratorium when its deed restriction takes effect.

218 (10) The affordable housing appeals procedure shall be applicable to
219 affordable housing applications filed with a commission after a three-
220 year moratorium expires, except (A) as otherwise provided in
221 subsection (k) of this section, or (B) when sufficient unit-equivalent
222 points have been created within the municipality during one
223 moratorium to qualify for a subsequent moratorium.

224 (11) The commissioner shall, within available appropriations, adopt
225 regulations in accordance with chapter 54 to carry out the purposes of
226 this subsection. Such regulations shall specify the procedure to be
227 followed by a municipality to obtain a moratorium, and shall include
228 the manner in which a municipality is to document the units to be
229 counted toward a moratorium. A municipality may apply for a
230 moratorium in accordance with the provisions of this subsection prior
231 to, as well as after, such regulations are adopted.

This act shall take effect as follows and shall amend the following sections:		
Section 1	October 1, 2026	8-30g(a)
Sec. 2	October 1, 2026	8-30g(l)

Statement of Legislative Commissioners:

In Section 1(a)(6)(A), "which [shall] require that," was changed to "which [shall] require, [that,]" for consistency with standard drafting conventions.

HSG Joint Favorable Subst. -LCO

The following Fiscal Impact Statement and Bill Analysis are prepared for the benefit of the members of the General Assembly, solely for purposes of information, summarization and explanation and do not represent the intent of the General Assembly or either chamber thereof for any purpose. In general, fiscal impacts are based upon a variety of informational sources, including the analyst's professional knowledge. Whenever applicable, agency data is consulted as part of the analysis, however final products do not necessarily reflect an assessment from any specific department.

OFA Fiscal Note

State Impact: None

Municipal Impact:

Municipalities	Effect	FY 27 \$	FY 28 \$
Various Municipalities	Potential Cost	See Below	See Below
Various Municipalities	Potential Savings	See Below	See Below

Explanation

The bill (1) expands the types of affordable housing developments that can be built under the affordable housing land use appeals procedure, and (2) allows these types of developments to be awarded housing unit equivalent points toward a moratorium.

This may result in a potential cost to municipalities beginning in FY 27 associated with legal fees to the extent more appeals associated with this type of housing are brought forward.¹

The bill may also result in a potential savings to municipalities beginning in FY 27 for legal costs to the extent that more municipalities are awarded a moratorium.²

The Out Years

The annualized ongoing fiscal impact identified above would

¹ Several municipalities reported spending up to \$215,000 on legal costs, appeals, and litigation related to CGS 8-30g projects within the past few years.

² As of August 2025, five municipalities have an active moratorium granted under CGS 8-30g.

continue into the future subject to the number of appeals and moratoriums that are awarded.

OLR Bill Analysis**sHB 5364*****AN ACT CONCERNING TIERED DEED RESTRICTIONS.*****SUMMARY**

This bill makes changes to CGS § 8-30g (the affordable housing land use appeals procedure; see BACKGROUND – § 8-30g), specifically by allowing certain affordable housing developments with shorter affordability restrictions to qualify for the law’s protections and setting new housing unit equivalent (HUE) point allocations for these developments. HUE points are generally the measure used to determine whether a municipality is eligible for a § 8-30g moratorium (see BACKGROUND – § 8-30g *Moratoria*).

Under current law, two types of proposed affordable housing developments trigger § 8-30g’s protections: (1) certain government-assisted housing (“assisted housing”) and (2) developments in which, for at least 40 years after initial occupancy, at least 30% of the dwelling units are deed restricted for certain lower-income households (“set-aside developments”). The bill requires the duration of affordability restrictions for set-aside developments to be for “a fixed period of time” and establishes three categories of these developments that must have affordability restrictions lasting for (1) at least 40 years (“40-year set-aside development”), (2) 30-39 years (“30-year set-aside development”), and (3) 20-29 years (“20-year set-aside development”). (Under the bill, it is unclear whether a proposed set-aside development with an affordability restriction of less than 20 years triggers § 8-30g protections.)

The bill correspondingly establishes HUE point allocations for dwelling units in these set-aside development categories. The point allocations for family units in 40-year set-aside developments remain

unchanged (see BACKGROUND – *HUE Point Allocations*). Point allocations for family units in 30- and 20-year set-aside developments are set at 70% and 40%, respectively, of the allocation for an equivalent unit in a 40-year set-aside development. (In modifying current HUE point allocations, the bill makes ineligible for family unit HUE points any such unit that is not located in a set-aside development. Under current law, family units in assisted housing or that are newly subjected to certain affordability restrictions may qualify for HUE points.)

EFFECTIVE DATE: October 1, 2026

BACKGROUND

§ 8-30g

The affordable housing land use appeals procedure is a set of rules that allows developers to appeal to Superior Court local planning and zoning commission decisions denying affordable housing developments or approving them with costly conditions. In traditional zoning appeals, the developer must convince the court that the commission (municipality) acted illegally or arbitrarily, or abused its discretion, by rejecting the proposed development. The § 8-30g appeals procedure instead places the burden of proof on the municipality. Only municipalities in which less than 10% of the housing stock is affordable, and that have not qualified for a moratorium, are subject to the procedure.

§ 8-30g Moratoria

Under existing law, a municipality is generally eligible for a four- or five-year moratorium (temporary suspension) from appeals taken under § 8-30g each time it shows it has added a certain amount of qualifying housing units to its housing stock, measured in HUE points (since July 1, 1990, for a first moratorium). The number of points required depends on certain factors, like the municipality's size and whether it adopted certain zoning regulations or has qualified for a moratorium before.

HUE Point Allocations

The table below shows HUE point allocations by unit type under current law.

Table: Base and Bonus HUE Points Under Current Law

<i>Unit Type</i>		<i>Base HUE Value (per Unit) Current Law</i>
Owned family unit restricted to households earning no more than:	80% of median income	1.00
	60% of median income	1.50
	40% of median income	2.00
Rented family unit restricted to households earning no more than:	80% of median income	1.50
	60% of median income	2.00
	40% of median income	2.50
Market-rate unit in a set-aside development		0.25
Owned or rented elderly unit restricted to households earning no more than 80% of the median income		0.50
Owned or rented homes in resident-owned mobile manufactured home parks occupied by households earning 80% or less of the median income		1.50
Owned or rented homes in resident-owned mobile manufactured home parks occupied by households earning 60% or less of the median income		2.00
Owned or rented homes in resident-owned mobile manufactured home parks not otherwise eligible for points		0.25
Certain middle housing dwelling units built under local option regulation		0.25
<i>Unit Type</i>		<i>Bonus HUE Value Current Law</i>
Rental family units in a set-aside development, if the developer applied for local approval before July 6, 1995		Bonus equal to 22% of the total points awarded to the development
Unit that is eligible for a base HUE allocation, as described above, and was constructed by (or with) a neighboring municipality's housing authority		0.25 per unit

**Median income* is the lesser of the state or area median income, after family size adjustments*

Related Bills

The Housing, Insurance and Real Estate, and Planning and Development committees favorably reported several bills impacting § 8-30g, including: sSB 338 (prohibits the allocation of HUE points after §

8-30g litigation, under certain circumstances); sHB 5362 (reduces the required affordability period for set-aside developments on municipal land, requires the court to stay appeals when a municipality applies for a moratorium, extends moratoria to align with housing growth plans, requires towns to report on affordable housing applications, and clarifies middle housing HUE point allocations); sHB 5365 (File 113) (modifies HUE point allocations, including for accessory apartments and certain deeply affordable housing); sHB 5376 (adds an additional ground for a local commission to defend its decision on an affordable housing application); and sHB 5395 (allocates HUE points to modular and prefabricated homes that do not otherwise qualify for points).

COMMITTEE ACTION

Housing Committee

Joint Favorable

Yea 13 Nay 6 (03/10/2026)